

Ultra Sound Money: Ethereum's Post-Merge Supply Dynamics and Monetary Premium

Data-forward | Analytical | Conviction-driven

Post-merge context snapshot

Current Supply

121,603,980 ETH

Base Gas (avg)

0.1 Gwei

ETH Price

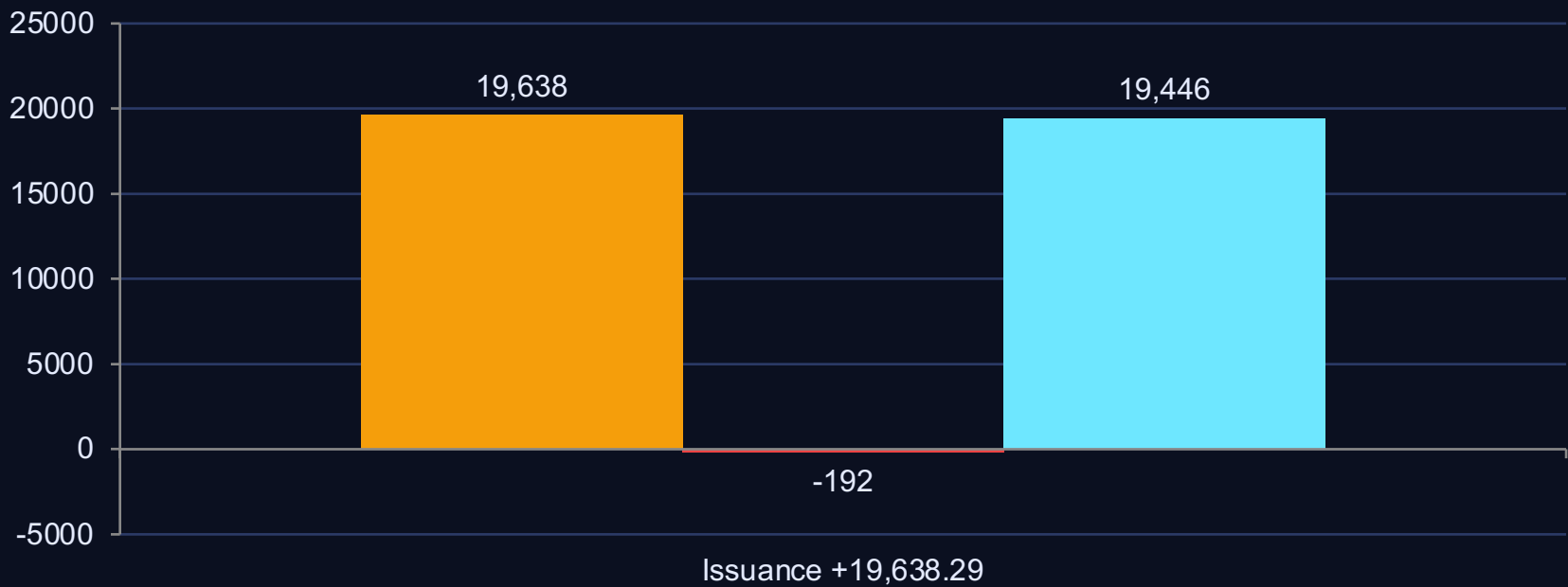
\$2,243

Audience: Crypto-native investors and Ethereum ecosystem participants evaluating ETH as a monetary asset.

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days

7-day supply change snapshot

Current supply: 121,603,980 ETH | Net 7-day change: +19,445.89 ETH



Offset Ratio

0.01x

Burn / Issuance

Burn offsets ~1% of issuance at current activity.

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn

EIP-1559 burn mechanics under low-demand conditions

Gas market (Gwei): min 0.0 | avg 0.1 | max 1.3



Low gas → low burn → temporary supply inflation

EIP-1559 remains active, but burn volume scales with demand for blockspace.

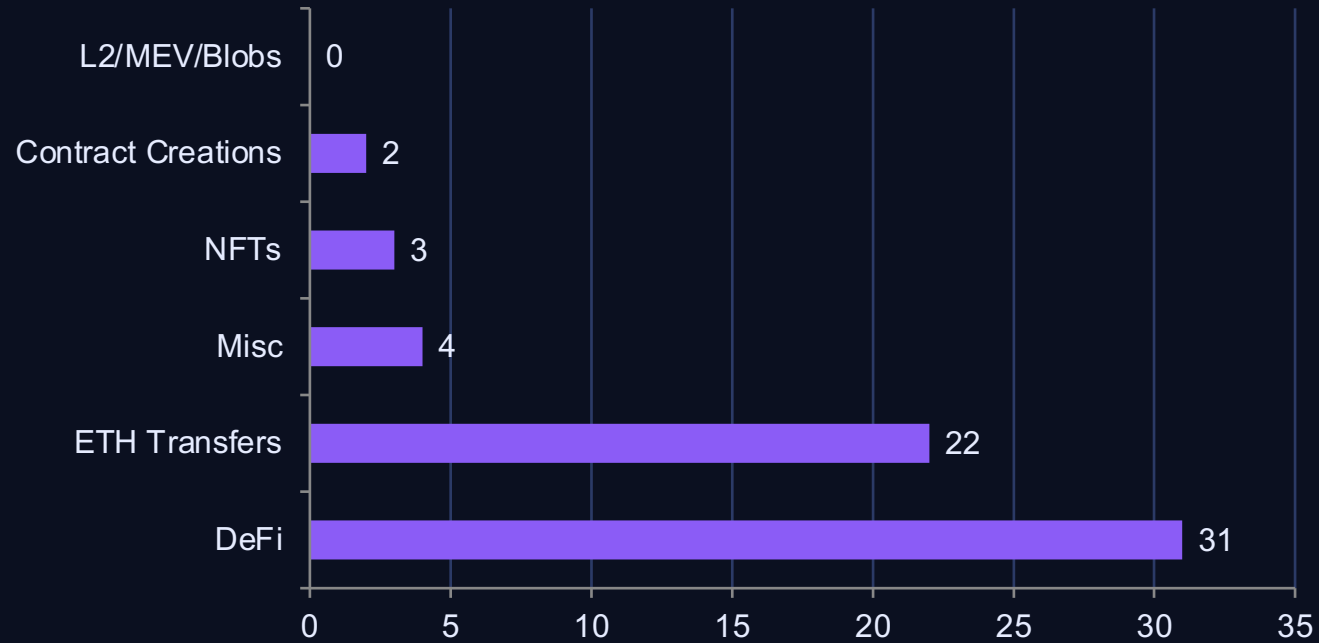
Blob gas context

Avg blob gas price:
~7.1M wei

7-day blob fees burned:
0.15 ETH

DeFi and ETH Transfers Account for 85% of Weekly Fee Burn

Category mix and top burners (7-day)



Top burn leaderboard

- ETH transfers: 21.7 ETH
- Tether: 13.6 ETH
- Uniswap V4: 9.1 ETH
- Uniswap V3: 8.2 ETH
- USDC: 7.6 ETH

DeFi + ETH transfers ≈ 85% of weekly burn

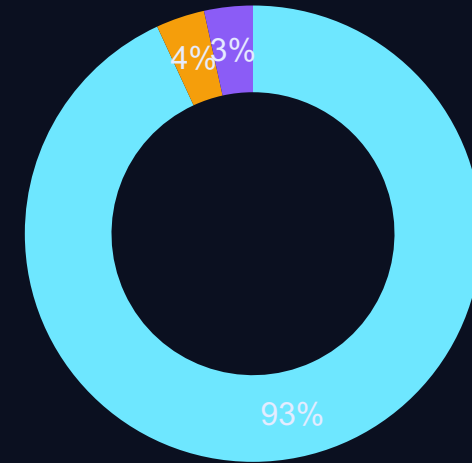
38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

Staking as a structural scarcity engine

Staking footprint

**38.9M ETH staked
(32% of supply)**

Scarcity lock: 9.1M ETH
Avg lock duration: 10.7 years

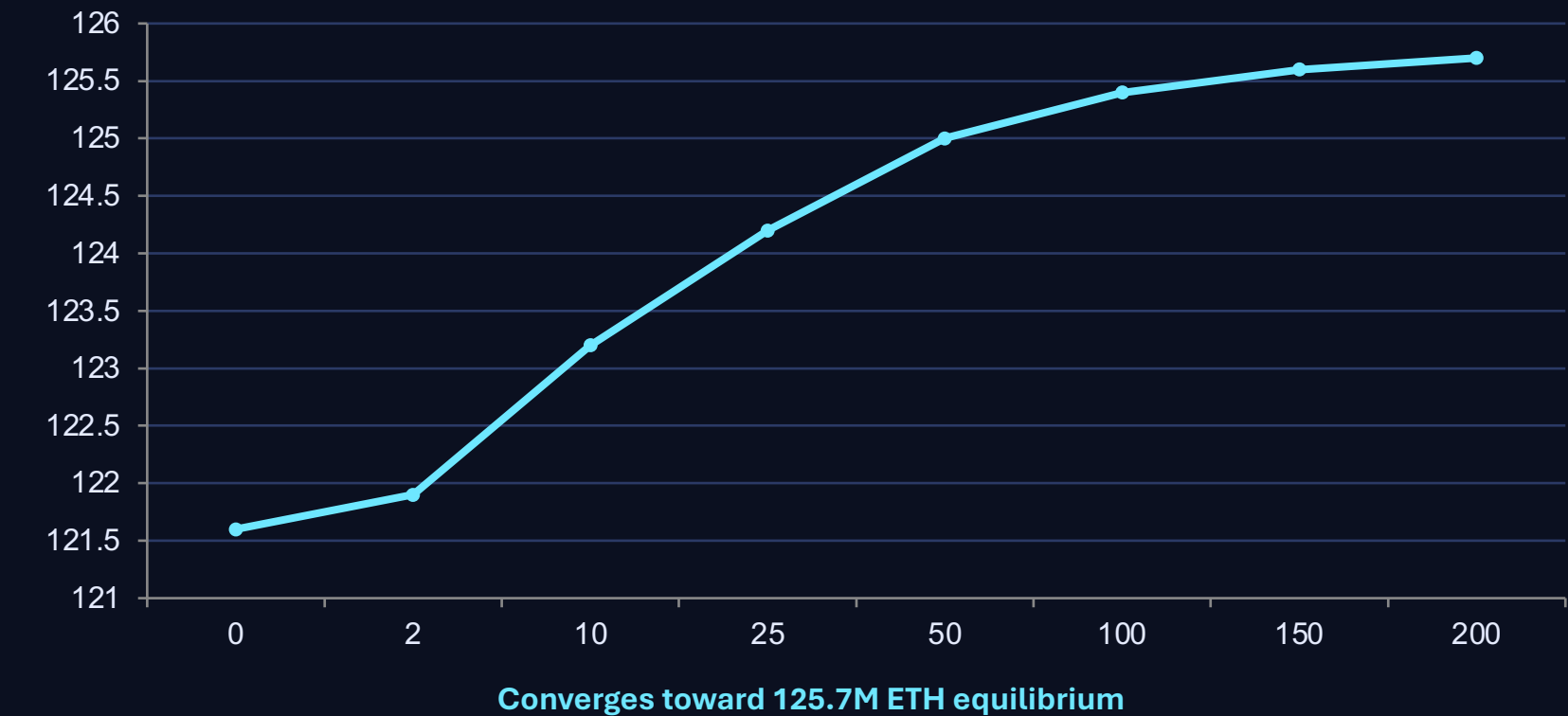


Validator rewards remain issuance-dominant

■ Issuance 2.7% ■ Tips 0.1% ■ MEV 0.1%

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance

200-year supply trajectory and model assumptions



Projection parameters

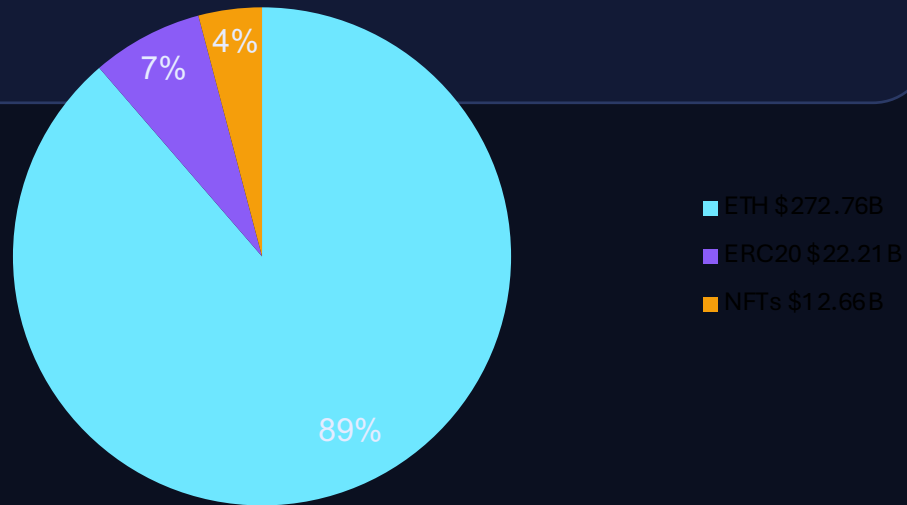
- 39M staked
- 22 Gwei base gas
- PoS issuance: 2.8K ETH/day
- Burn: 2.2K ETH/day
- Net annual balance: ~1,037K ETH

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Flipping progress and total value secured (TVS)

Flipping ratios

BTC: 18.7% | Gold: 0.89% | USD: 1.30%



Total Value Secured $\approx$ \$307.6B

Top ERC20s by value

- Dai: \$4.41B
- SHIB: \$3.51B
- Cronos: \$2.97B
- Tether Gold: \$2.65B

Top NFTs by value

- CryptoPunks: \$2.13B
- BAYC: \$0.68B
- ENS: \$0.63B
- Pudgy Penguins: \$0.51B

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

- 01 ETH is currently mildly inflationary at +0.83%/yr, driven by historically low gas (~0.1 Gwei).
- 02 The burn mechanism is functioning, but burn volume remains demand-dependent and currently offsets only ~1% of issuance.
- 03 38.9M ETH staked (32% of supply) and 9.1M ETH in long locks reinforce structural scarcity.
- 04 Long-run supply still converges toward ~125.7M ETH under higher sustained activity assumptions.
- 05 18.7% BTC flipping progress and \$307B+ TVS support ETH's growing monetary premium.

Investor implication: monitor sustained on-chain activity (gas regime) as the key variable converting ETH's structural design into realized monetary hardness.